Credit crunches

Credit fuels economic activity: firms have to borrow to invest in factories or research new products, individuals take out loans to buy houses or to finance education. So when credit dries up the economy gets smothered. During a credit crunch, the supply of loans contracts: there is both less credit available and a tightening of the conditions for accessing it.

Credit crunches often arise from certain kinds of market failure. For example, at the start of the recent economic crisis in 2008, financial institutions realized that loans had been given to homebuyers based on a limited analysis of their creditworthiness, and that many were in fact worthless. To reduce their risks, they immediately began to restrict credit to borrowers. Much of this behaviour is driven by so-called ‘informational failures’: when it becomes apparent that there is not enough information about the true risks attached to a bank’s stock of loans, the response can be to switch from liberal to highly conservative lending policies.